RBI - OFFICIAL REGULATORY DIRECTION

Circular on Reset of Floating Interest Rate on Equated Monthly Instalments (EMI) Loans

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Chapter 1: Operational Compliance Guidelines (DOC_023)

Chapter 2: Operational Compliance Guidelines (DOC_023)

Section 3: Mandatory Option to Switch to Fixed Rate and Avoid Negative Amortization

3.1 Borrower Choice at Interest Rate Reset
Whenever an upward reset of the benchmark rate occurs on a floating-rate personal or housing loan, the Regulated Entity shall offer the borrower the explicit choice to either (i) enhancement of EMI, (ii) elongation of tenor, or (iii) a combination of both, as well as the option to switch to a fixed interest rate at least twice during the loan tenure.

3.2 Prohibition on Negative Amortization
Elongation of loan tenor due to benchmark rate hikes shall never be allowed to result in negative amortization (where the monthly instalment is insufficient to cover even the monthly interest component).

Chapter 4: Operational Compliance Guidelines (DOC_023)

Chapter 5: Operational Compliance Guidelines (DOC_023)